

Internet Appendix to “The Price of Political Partisanship”

In the Internet Appendix, I provide supplementary evidence for the findings in the main body. Section I details the procedures linking CEOs and PACs to political contribution records and reports the composition of the resulting match. Sections II-V document persistence in political stance, address the non-monotonicity in baseline portfolio sorts, evaluate measurement robustness, and assess confounding characteristics. Section VI provides descriptive statistics on the data used for the demand-system estimation, as well as on the estimated political leaning of institutional investors. Section VII reports additional analyses, including forward-looking expected-return proxies, alignment-threshold sensitivity, subperiod splits, event-study complements, operating-performance tests, and industry-interaction tests.

I. Contributions Matching Procedure

To link CEOs to individual contribution records, I combine ExecuComp executive identifiers with name information from BoardEx, including alternative first names, middle names, and usual names. I then implement a deterministic, staged linkage to the CRP records. A contribution must match the executive’s surname and either the full first or usual name, or the corresponding first- and middle-name initials. I additionally require the reported employer or organization to match one of the firm-name aliases obtained from CRSP, Compustat, or BoardEx, including long, suffix-stripped, and historical names. For records without a firm-affiliation match, I retain the contribution only when it shares either the CRP contributor identifier or the exact reported address with an independently matched contribution for the same executive.

I link PACs to firms by matching the committee’s abbreviated name, affiliated organization, or ultimate parent organization to firm-name aliases from CRSP, Compustat, ExecuComp, and BoardEx. The alias set includes current, historical, long, and suffix-stripped names. All matches are exact after common text standardizations. PAC transactions are subsequently assigned to firms through the matched FEC committee identifier.

Table IA-1: Composition of the Political Contribution Match

This table reports the composition of the match between political contribution records from the CRP and sample firms over the 1990 to 2022 election cycles. Panel A classifies retained CEO contribution records by match type. Direct matches satisfy the name criterion and an employer match to a firm-name alias. Propagated records lack a firm-affiliation match and are retained through the CRP contributor identifier or the exact reported address of an employer-verified contribution by the same executive, with the anchoring record inside (in-tenure) or outside (out-of-tenure) the executive's tenure. For each match type, the table shows the number of distinct transactions, the total dollar amount of contributions during tenure, and the share in the matched dollar volume. Panel B classifies matched CEOs by the composition of their matched records. Panel C reports the corresponding figures for the PAC-firm match. All dollar amounts are nominal.

Panel A: Matched CEO Contribution Records

Match Type	Transactions	Contr.	Share (%)
Direct (name and firm affiliation)	297,432	537,925,237	88.45
Propagated (in-tenure anchor)	50,451	70,120,101	11.53
Propagated (out-of-tenure anchor)	303	155,553	0.03
Total	348,186	608,200,891	100.00

Panel B: Matched CEOs

Match Composition	CEOs
Direct matches only	1,373
Direct and propagated	4,844
Propagated only	56
Total	6,273

Panel C: Matched PAC Contribution Records

	PACs	Transactions	Contr.
Total	1,730	1,175,801	1,684,041,344

Table [IA-1](#) summarizes the resulting match. Panel A classifies retained CEO contribution records by match type. Direct matches on name and firm affiliation account for 297,432 of the 348,186 matched transaction records and 538 USD million, or 88.4% of the matched dollar volume. Records propagated through the CRP contributor identifier or the exact reported address of an employer-verified contribution during the executive’s tenure contribute an additional 11.5%, and propagation anchored outside the tenure period is negligible at 0.03%. Panel B classifies the 6,273 matched CEOs by the composition of their matched records; 99.1% have at least one direct, employer-verified contribution during tenure. Panel C reports the corresponding figures for the PAC-firm match, covering 1,730 committees and 1.7 USD billion in contributions.

II. Persistence in Political Leaning

Table [IA-2](#) presents the transition matrix for a firm’s observed political stance, based on its CEOs’ political contributions. It provides the probabilities that a firm has an overhang in donations to the Democratic or Republican party, or is neutral (i.e., makes no contributions), conditional on the currently observed stance across various accumulation windows. Each month, I sort the firms into three buckets based on the Net Rep. Share (Democratic if Net Rep. Share < 0 , Neutral if Net Rep. Share $= 0$, and Republican if Net Rep. Share > 0), respectively, for periods of 1, 2, and 4 years. Then, for each bucket, I compute the probabilities of ending up in each of those buckets in the subsequent 1, 2, and 4 years. Overall, Republican-leaning firms are highly likely to maintain this stance over the long term, with an average probability of 76% across the subsequent 4-year combinations. Neutral firms tend to remain neutral with an average probability of 80% 1 year ahead. This, however, drops to an average of 49% over the 4-year period. In contrast to Republican and Neutral firms, Democratic-leaning firms have higher probabilities of switching their political stance, regardless of the period under investigation.

Table IA-2: Transition Probabilities of Political Leaning

This table shows the probabilities that a firm shows a certain party leaning in its CEOs' future political donations (in the subsequent 1, 2, or 4 years) after observing a specific party leaning in historical donations (in the past 1, 2, or 4 years). Dem. defines the state in which a firm's CEO made more contributions to Democratic candidates or affiliated PACs during the given time period. Rep. defines the state when a firm's CEO made more contributions to Republican candidates or affiliated PACs in the given time period. Neut. defines the state in which a firm's CEO has not made any political contributions during the given time period.

	Dem. _{[t:t+1)}	Neut. _{[t:t+1)}	Rep. _{[t:t+1)}	Dem. _{[t:t+2)}	Neut. _{[t:t+2)}	Rep. _{[t:t+2)}	Dem. _{[t:t+4)}	Neut. _{[t:t+4)}	Rep. _{[t:t+4)}
Dem. _{[t-1:t)}	0.47	0.20	0.33	0.50	0.11	0.39	0.48	0.06	0.45
Neut. _{[t-1:t)}	0.08	0.77	0.16	0.12	0.63	0.25	0.17	0.45	0.37
Rep. _{[t-1:t)}	0.14	0.18	0.67	0.15	0.11	0.75	0.14	0.06	0.80
Dem. _{[t-2:t)}	0.44	0.26	0.30	0.48	0.16	0.36	0.48	0.09	0.43
Neut. _{[t-2:t)}	0.06	0.81	0.12	0.11	0.68	0.21	0.16	0.50	0.34
Rep. _{[t-2:t)}	0.14	0.24	0.62	0.15	0.15	0.71	0.14	0.09	0.77
Dem. _{[t-4:t)}	0.40	0.33	0.28	0.45	0.22	0.34	0.46	0.13	0.40
Neut. _{[t-4:t)}	0.06	0.83	0.11	0.10	0.71	0.19	0.16	0.52	0.32
Rep. _{[t-4:t)}	0.14	0.29	0.57	0.14	0.20	0.66	0.15	0.12	0.73

III. Non-Monotonicity

As discussed in Section 2.3 of the main text, the unconditional portfolio sorts exhibit a non-monotonic pattern driven by a size confound. Table 5 in the main text resolves this via conditional double sorts. Two complementary tests are reported below.

Table IA-3 replaces the continuous partisanship measure with indicators for low-partisan firms ($0 < \text{Partisanship} \leq 2/3$) and high-partisan firms ($\text{Partisanship} > 2/3$), with neutral firms as the reference category. Both indicators are significantly negative, and the high-partisan coefficient is significantly larger in absolute value, confirming monotonicity.

Table IA-3: Fama-MacBeth Regression with Partisanship Level Dummies

This table shows the results from Fama-MacBeth regressions in which monthly excess stock returns are regressed on firms' political partisanship. Instead of the continuous partisanship measure in Table 4, I include two dummy variables that indicate the magnitude of partisanship. The first dummy variable is 1 if a firm's political partisanship is greater than 0 and less than or equal to $2/3$, 0 otherwise. The second dummy variable is 1 if the firm's political partisanship exceeds $2/3$; 0 otherwise. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

$\mathbb{1}(0 < \text{Partisanship} \leq 2/3)$	-0.14** (-2.48)
$\mathbb{1}(\text{Partisanship} > 2/3)$	-0.22*** (-3.53)
Controls	Yes
Industry FE	Yes
Observations	607,658
R ²	0.27

Table IA-4 re-estimates the baseline Fama-MacBeth regression within the subsample of firms that have deviated from neutrality, isolating the intensive margin. The coefficient remains negative and highly significant (-0.08 with a t -statistic of -5.57).

Table IA-4: Fama-MacBeth Regression within Donors

This table shows the results from Fama-MacBeth regressions in which monthly excess stock returns are regressed on firms' political partisanship. Compared to Table 4, the sample is restricted to firms whose CEOs have made political contributions at some point in the past, i.e., their current or previous CEOs have done so. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.08*** (-5.57)
Controls	Yes
Industry FE	Yes
Observations	499,810
R ²	0.28

IV. Measurement Robustness

To ensure that the observed partisanship discount is not driven by specific portfolio construction choices or by the definition and aggregation of the partisanship measure, this section presents several robustness checks. Particularly, these tests examine whether the baseline results hold when (1) alternative portfolio sorting schemes are used, (2) portfolio returns are computed differently, (3) the definition of political partisanship is modified, and (4) the aggregation window for the political leaning variable is varied.

Table IA-5 shows the results of portfolio sorts with an increased lag in the assumed availability of the partisanship measure. Whereas the baseline specification in Table 2 uses firms' partisanship at the beginning of the month over which returns are computed, in Table IA-5 I use partisanship with a six-month lag. The results do not significantly deviate from the baseline setting.

Table IA-6 presents results from an alternative portfolio sort in which firms are assigned to tercile portfolios based on their political partisanship. This contrasts with the baseline

Table IA-5: Lagged Portfolio Sorting

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship with a six-month lag. N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
$E[R]-R_f$ (%)	1.57*** (4.85)	1.13*** (4.29)	1.15*** (4.16)	-0.41*** (-4.62)
α_{FF6}	0.83*** (8.27)	0.32*** (5.91)	0.33*** (4.81)	-0.50*** (-6.34)

specification in Table 2, which groups firms into a neutral group and then splits partisan firms at the median of nonzero values. While the sorting methodology differs, the findings are qualitatively unchanged. Firms with stronger political leanings continue to underperform those with low observed partisanship in terms of excess returns and FF6 alphas.

Table IA-6: Tercile Portfolio Sorting

This table presents the average monthly excess returns for three portfolios. The portfolios are constructed by splitting all firms into terciles based on political partisanship. Compared to Table 2, politically neutral firms are not separated before the sorting. L are low-partisanship firms (including politically neutral firms), M are firms in the middle partisanship tercile, H are high-partisanship firms, and H-L is the high-minus-low portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	L	M	H	H-L
$E[R]-R_f$ (%)	1.44*** (4.91)	1.14*** (4.17)	1.16*** (4.24)	-0.28*** (-3.96)
α_{FF6}	0.71*** (7.83)	0.32*** (5.13)	0.36*** (5.10)	-0.35*** (-5.76)

Table IA-7 reports value-weighted portfolio returns.¹ The high-minus-neutral spread remains significant at -22 bp per month (see Section 2.3 for discussion). Table IA-8 reports weighted least squares Fama-MacBeth estimates. The coefficient magnitude is stable relative to the OLS baseline.

Table IA-7: Value-Weighted Returns

This table presents the average monthly excess returns for three portfolios constructed based on firms’ political partisanship. N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the excess return weighted by firms’ market capitalization, winsorized at the NYSE 80th percentile, and corresponding FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
$E[R]-R_f(\%)$	1.04*** (3.54)	0.82*** (3.63)	0.82*** (3.39)	-0.22** (-2.36)
α_{FF6}	0.34*** (5.31)	0.07* (1.81)	0.05 (0.99)	-0.29*** (-4.24)

Having established that the discount is robust to portfolio construction and return-weighting choices, I next assess its sensitivity to the definition of the partisanship measure itself, varying the scaling, the underlying donation source, and the assumed memory length of the aggregation window. The baseline measure, constructed as the absolute value of the cumulative net Republican share of CEO donations (Section 2.1), offers several advantages for capturing perceived political identity, but the discount should not depend on specific measurement choices.

Prior literature typically relies on a single measure of political affiliation, such as the normalized share of individuals’ net Republican donations (Hong and Kostovetsky, 2012; Lee et al., 2014; Wintoki and Xi, 2020), individuals’ net Republican donations in dollars (Cohen et al., 2019), net Republican donations of PACs (Christensen et al., 2022), or the number of candidates supported by corporate PAC contributions (Cooper et al., 2010).

¹ To ensure that mega-cap stocks do not dominate portfolio construction here, I weight stocks by their market equity, winsorized at the NYSE 80th percentile, following Jensen et al. (2023). However, results are similar without capping.

Table IA-8: Fama-MacBeth Regression with Weighted-Least Squares

This table shows the results from weighted least squares Fama-MacBeth regressions with the market equity as the weights, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.17* (-1.82)
Controls	Yes
Industry FE	Yes
Observations	607,658
R ²	0.27

The diversity of their findings implicitly underscores the sensitivity of empirical outcomes to the operationalization of political leaning.

I employ several alternative constructions to validate the robustness of the partisanship discount with respect to the measurement of political leaning. First, I consider the dollar value of net Republican donations cumulated over the previous four years. Panel A of Table IA-9 reveals that the high-minus-neutral portfolio remains significantly negative, with an economically substantial monthly return differential and corresponding negative FF6 alpha. This confirms that the discount is robust to using absolute monetary contributions rather than a normalized share.

Second, I use PAC partisanship as an alternative, firm-level measure of perceived political stance, constructed from contributions by firm-affiliated PACs rather than from the CEO's personal donations. The two proxies differ in signal content. CEO contributions are attributable to a single, identifiable individual and, as discussed in Section 2.2, more likely to reflect ideological motivation, whereas PAC giving aggregates contributions across executives, employees, and shareholders and serves a broader, access-oriented function. PAC partisanship is therefore a complementary, if noisier, proxy for the firm's perceived ideological identity. Panel B of Table IA-9 confirms that the partisanship dis-

Table IA-9: Alternative Partisanship Measures

This table presents the average monthly excess returns for three portfolios constructed based on different measures of firms' perceived political partisanship. Panel A uses the net Republican dollar donations over a four-year rolling window to define partisanship. Panel B uses the historical net Republican share in firm-level PAC contributions to define partisanship. Panel C uses the historical net Republican share solely of the currently incumbent CEO's contributions to define partisanship. N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: CEO Net Donations				
E[R]- R_f (%)	1.48*** (4.88)	1.20*** (4.45)	1.10*** (4.13)	-0.37*** (-4.34)
α_{FF6}	0.72*** (7.60)	0.43*** (6.49)	0.28*** (4.96)	-0.44*** (-6.44)
Panel B: PAC Partisanship				
E[R]- R_f (%)	1.39*** (4.66)	0.96*** (3.93)	0.93*** (3.62)	-0.46*** (-3.51)
α_{FF6}	0.62*** (6.98)	0.19*** (3.29)	0.02 (0.29)	-0.60*** (-5.62)
Panel C: Incumbent CEO Partisanship				
E[R]- R_f (%)	1.41*** (4.75)	1.18*** (4.40)	1.21*** (4.34)	-0.20*** (-3.56)
α_{FF6}	0.64*** (6.90)	0.39*** (7.17)	0.40*** (5.89)	-0.24*** (-4.52)

count persists under this measure, with a high-minus-neutral spread and factor-adjusted alpha comparable to the CEO-based baseline. The robustness of the discount to a measure that does not rely on any single executive’s giving indicates that the pricing effect reflects a firm-level perceived political orientation rather than an idiosyncratic feature of CEO-level measurement. This distinction also clarifies the relation to [Cooper et al. \(2010\)](#), whose candidate-count measure captures the breadth of PAC support and is associated with higher returns, whereas the net tilt of the same PAC giving is associated with lower returns (Panel B). Access and ideological salience are thus distinct, and distinctly priced, dimensions of political engagement.

Third, Panel C of Table [IA-9](#) constructs the partisanship measure solely from the incumbent CEO’s cumulative donation history, excluding all contributions made by previous CEOs. Under the baseline construction, a predecessor’s donations continue to define a firm’s stance after leadership turnover. The incumbent-only measure removes this legacy component entirely, classifying a firm as neutral until its current CEO has donated. The high-minus-neutral spread remains negative and significant at -20 bp per month, with an FF6 alpha of -24 bp. The spread is attenuated relative to the baseline, as expected if the discarded predecessor histories carry pricing-relevant reputational content that investors continue to condition on.

Finally, recognizing that political leaning may vary more strongly over time than the baseline measure allows, I reassess partisanship using shorter aggregation windows (4-, 2-, and 1-year rolling windows). Shorter windows allow firms to revert toward neutrality over time, accommodating a fading-memory interpretation of political identity.² Table [IA-10](#) illustrates that the discount remains economically meaningful and statistically significant across all window lengths, as expected, given that the donation behavior of CEOs is relatively persistent over time.

Across all alternative measures, the partisanship discount remains economically meaningful and statistically significant, confirming that the baseline finding is not an artifact of a specific measurement choice.

² In Table [IA-19](#), I also provide results in the opposite direction, examining changes in aggregation periods, using a static partisanship measure based on political contributions aggregated over the full sample period.

Table IA-10: Dynamic Partisanship Measure

This table presents the average monthly excess returns for three portfolios constructed using different versions of the baseline measure of firms' perceived political partisanship, as defined in Section 2.1. Panel A uses a four-year rolling window to aggregate the net Republican share; Panel B uses a two-year rolling window; and Panel C uses a one-year rolling window. N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
Panel A: 4-Year Rolling Window				
E[R]-R _f (%)	1.48*** (4.88)	1.14*** (4.42)	1.17*** (4.18)	-0.31*** (-4.40)
α_{FF6}	0.72*** (7.60)	0.34*** (5.85)	0.37*** (5.32)	-0.35*** (-5.67)
Panel B: 2-Year Rolling Window				
E[R]-R _f (%)	1.42*** (4.78)	1.15*** (4.46)	1.13*** (4.10)	-0.29*** (-4.38)
α_{FF6}	0.66*** (7.30)	0.35*** (6.72)	0.33*** (4.78)	-0.33*** (-6.24)
Panel C: 1-Year Rolling Window				
E[R]-R _f (%)	1.37*** (4.65)	1.16*** (4.47)	1.14*** (4.20)	-0.23*** (-3.18)
α_{FF6}	0.60*** (7.00)	0.36*** (6.48)	0.33*** (4.76)	-0.27*** (-4.78)

Relatedly, the partisanship measure may be noisier early in a CEO’s tenure, when the incumbent’s observable donation history is short. Table IA-11 therefore restricts the sample to firm-months in which the current CEO has held the position for at least 24 months or 36 months. The coefficient on partisanship is virtually identical to the baseline estimate under both restrictions, indicating that the discount is not driven by firms with newly appointed CEOs and sparse donation records.

Table IA-11: Fama-MacBeth Regression with CEO Tenure Restriction

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms’ political partisanship. The regressions are estimated cross-sectionally for each month over two different sample periods. Compared to Table 4, in Model (1) the sample is restricted to firm-months in which the current CEO’s tenure is at least 24 months and at least 36 months in Model (2). Both models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	CEO Tenure ≥ 24 (1)	CEO Tenure ≥ 36 (2)
Partisanship	-0.18*** (-3.74)	-0.18*** (-3.55)
Controls	Yes	Yes
Industry FE	Yes	Yes
Observations	415,583	367,833
R ²	0.30	0.30

V. Confounding Characteristics

In this section, I assess whether the partisanship discount can be explained by conventional firm-level characteristics commonly associated with asset pricing anomalies. While the main body of the paper already demonstrates that the effect of political partisanship is robust to controls for firm size and other observables in Fama-MacBeth regressions (see Table 4), and also holds in size-conditioned portfolio sorts (see Table 5), it remains

important to directly investigate whether the return differential between partisan and neutral firms persists within finer partitions of the cross-section sorted by other firm fundamentals.

Table [IA-12](#) reports results from a series of double-sorts in which firms are first sorted into terciles by a given firm characteristic and then further sorted into three portfolios by political partisanship within each characteristic group. This procedure is repeated across several characteristics: book-to-market ratio (Panel A), momentum (Panel B), profitability (Panel C), and idiosyncratic volatility (Panel D). The objective is to test whether the partisanship return differential survives within portfolios of firms that are otherwise similar along these dimensions.

Across all firm characteristics, I find that the return differential between the most partisan and neutral firms remains statistically significant within all terciles. This reaffirms the interpretation that the partisanship discount is distinct from known cross-sectional return patterns.

Furthermore, I provide an adaptation of the portfolio sort using a return construction that controls for exposures to firm-level characteristics. That is, I use returns in excess of characteristic-based benchmarks following [Daniel et al. \(1997\)](#), which control for expected return differences due to size, book-to-market ratio, and momentum, rather than just computing returns in excess of the risk-free rate in the baseline setting.³ Table [IA-13](#) shows the results.

Lastly, Table [IA-14](#) addresses the concern that partisanship proxies for CEO characteristics rather than firm characteristics. The baseline Fama-MacBeth regression is augmented with the logarithm of CEO tenure, CEO age, the logarithm of total compensation, and the CEO's equity ownership. While several CEO characteristics enter with marginal significance, the coefficient on partisanship remains negative and significant, confirming

³ To compute the benchmark-adjusted returns for each stock, I form five $\times$ five $\times$ five portfolios based on size, book-to-market ratio, and momentum. At the beginning of each month, I sort firms into quintile portfolios by market capitalization. Then, the firms in each size group are further sorted into quintile portfolios by book-to-market ratio. Lastly, firms in each of the 25 size and book-to-market portfolios are sorted into quintiles based on previous 12-month returns. For all 125 portfolios, I calculate value-weighted returns. Finally, each stock is assigned to one of those portfolios, and the return of each portfolio is then used as the respective benchmark.

Table IA-12: Bivariate Portfolio Sorting

This table presents the average monthly excess returns for three $\times$ three portfolios dependently sorted on a selection of firm characteristics and then on firms' level of partisanship. The rows represent sorting by the respective firm characteristics, with L being the bottom tercile, M the middle tercile, and H the top tercile. In Panel A, firms are first sorted by book-to-market ratio. In Panel B, firms are first sorted by momentum. In Panel C, firms are first sorted by profitability. In Panel D, firms are first sorted by idiosyncratic volatility. The columns represent sorting by partisanship, where N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R _f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
Panel A: B/M								
L	1.62*** (4.54)	1.05*** (4.23)	1.09*** (3.91)	-0.53*** (-4.76)	0.88*** (8.33)	0.26*** (5.03)	0.34*** (4.61)	-0.54*** (-5.80)
M	1.28*** (4.34)	0.97*** (4.31)	1.01*** (3.90)	-0.26*** (-3.06)	0.48*** (4.27)	0.13** (2.14)	0.15** (2.11)	-0.33*** (-3.73)
H	1.82*** (4.34)	1.34*** (3.91)	1.33*** (3.66)	-0.49*** (-3.58)	1.12*** (5.22)	0.57*** (5.53)	0.54*** (4.03)	-0.58*** (-3.59)
Panel B: MOM								
L	1.48*** (3.60)	1.19*** (3.16)	1.17*** (3.05)	-0.31*** (-3.08)	0.97*** (5.53)	0.58*** (5.08)	0.55*** (3.91)	-0.43*** (-3.79)
M	1.31*** (4.90)	0.98*** (4.30)	0.98*** (4.20)	-0.32*** (-4.25)	0.53*** (7.04)	0.17*** (3.08)	0.17*** (3.78)	-0.36*** (-5.09)
H	1.87*** (5.49)	1.23*** (4.97)	1.32*** (4.81)	-0.56*** (-4.82)	0.92*** (7.99)	0.28*** (4.28)	0.33*** (4.56)	-0.58*** (-6.19)

Table IA-12: Bivariate Portfolio Sorting (Continued)

	E[R]-R _f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
Panel C: Profitability								
L	1.99*** (4.99)	1.26*** (3.94)	1.25*** (3.78)	-0.74*** (-5.08)	1.42*** (8.10)	0.59*** (5.63)	0.58*** (6.11)	-0.85*** (-6.83)
M	1.34*** (4.63)	1.06*** (4.14)	1.14*** (4.10)	-0.20** (-2.36)	0.53*** (6.97)	0.19*** (3.24)	0.26*** (3.29)	-0.27*** (-3.70)
H	1.50*** (5.24)	1.07*** (4.72)	1.10*** (4.56)	-0.41*** (-4.38)	0.64*** (5.72)	0.22*** (3.60)	0.24*** (2.91)	-0.40*** (-4.52)
Panel D: IVOL								
L	1.02*** (4.69)	0.82*** (4.14)	0.87*** (4.31)	-0.15*** (-2.59)	0.28*** (3.24)	0.05 (0.73)	0.08 (1.34)	-0.20*** (-3.07)
M	1.34*** (4.79)	1.06*** (4.08)	1.04*** (4.13)	-0.30*** (-4.13)	0.53*** (6.56)	0.21*** (3.92)	0.18*** (3.12)	-0.35*** (-4.12)
H	2.14*** (4.62)	1.60*** (3.89)	1.56*** (3.68)	-0.59*** (-4.01)	1.47*** (6.97)	0.82*** (4.88)	0.82*** (4.39)	-0.65*** (-4.56)

Table IA-13: Characteristic-based Benchmark Returns

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship. N are politically neutral firms, L are low-partisanship firms, H are high-partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are rebalanced monthly. The sample covers the period from 1990 to 2022. I report the equally weighted average return in excess of characteristic-based benchmarks, following Daniel et al. (1997), and the corresponding FF6 alpha. The *t*-statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
E[R]-R _{BM} (%)	0.75*** (9.83)	0.32*** (6.66)	0.34*** (5.65)	-0.41*** (-6.71)
α_{FF6}	0.72*** (10.48)	0.24*** (8.24)	0.27*** (5.62)	-0.45*** (-7.36)

that executive-level traits do not subsume the discount.

Table IA-14: Fama-MacBeth Regression with CEO Characteristics

This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and characteristics of the current CEO. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. The specification includes industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Partisanship	-0.14*** (-2.86)
Log CEO Tenure	0.04* (1.67)
CEO Age	-0.07** (-2.51)
Log CEO Compensation	0.07** (2.02)
CEO Equity Ownership	0.04* (1.91)
Log ME	-0.27*** (-3.38)
Log B/M	0.02 (0.22)
Profitability	-0.10 (-1.23)
Leverage	-0.10 (-1.18)
Tangibility	-0.03 (-0.66)
Earnings Growth	-0.02 (-0.12)
MOM	0.03 (0.18)
β_{MKT}	0.04 (0.40)
IVOL	-0.07 (-0.72)
Industry FE	Yes
Observations	480,472
R ²	0.29

VI. Investor Demand Statistics

This section provides descriptive statistics that complement the demand-system estimation introduced in Section 3.1. The statistics characterize the investor-level input data used in the estimation, document the strength of the price instrument, and summarize the resulting distribution of estimated demand for political leaning.

Table IA-15 presents summary statistics on the institutional investor sample drawn from FactSet portfolio holdings, covering the period from 1999 to 2022.

Table IA-15: Investor Characteristics

This table shows summary statistics on portfolio holdings of institutional investors. The provided statistics are computed each quarter across the different types of investors and then averaged over time. I report the number of individual investors (N), assets under management in million USD (AUM), and the total market share (AUM Share).

Type	N	AUM	AUM Share
Large-Passive IA	12	3,030,983.57	0.20
Small-Passive IA	828	2,105,481.93	0.14
Small-Active IA	821	1,864,009.12	0.13
Large-Active IA	13	1,642,777.69	0.11
Hedge Funds	436	435,805.52	0.03
Long-Term	74	458,877.17	0.03
Private Banking	562	449,382.42	0.03
Brokers	43	172,241.19	0.01
Public Funds	8	109,633.98	0.01
Residual Sector	1	4,322,524.96	0.31

Table IA-16 reports diagnostics for the price instrument defined in Equation (4). For each investor-year or group-year estimation, I record the t -statistic on the instrument in the first-stage regression of the log market-to-book ratio on the instrument and the stock characteristics. The table summarizes these t -statistics by investor type and by sample period. Median first-stage t -statistics range from 42.40 to 61.85 across investor types and from 34.35 to 68.81 across subperiods. The weakest first stage in the entire estimation sample has a t -statistic of 9.47.

Table IA-17 reports summary statistics on the estimated demand for political leaning across different investor types. While the average leaning across investor types is of-

Table IA-16: First-Stage t -Statistics of the Price Instrument

This table reports first-stage diagnostics for the demand-system estimation described in Section 3.1.2 of the main body. For each investor-year or group-year estimation, the t -statistic on the instrument $z_{j,t}(n)$ from Equation (4) is obtained from the first-stage regression of the log market-to-book ratio on the instrument and all stock characteristics, including investor $\times$ quarter fixed effects. The left panel reports the median and minimum of these t -statistics across estimations within each investor type. The right panel reports the corresponding statistics within subperiods.

Type	Median	Min	Years	Median	Min
Large-Passive IA	45.79	43.01	1999-2000	49.53	17.03
Small-Passive IA	50.77	9.70	2001-2003	39.77	14.28
Small-Active IA	46.60	9.47	2004-2006	34.35	9.97
Large-Active IA	47.18	35.64	2007-2009	34.42	9.70
Hedge Funds	45.36	14.77	2010-2012	38.18	9.47
Long-Term	61.85	18.89	2013-2015	44.12	11.72
Private Banking	42.40	11.01	2016-2018	59.27	11.96
Brokers	44.00	18.30	2019-2020	68.81	12.94
Public Funds	53.78	27.28	2021-2022	67.21	15.71

ten close to neutral, a clear pattern emerges when examining the dispersion measures. Investor types typically associated with more active or discretionary investment strategies, such as hedge funds, private banking, brokers, and (by definition) active investment advisors, exhibit considerably greater heterogeneity in their estimated ideological preferences. This is evident in both the standard deviation and the range between the 25th (5th) and 75th (95th) percentiles. These findings align with the notion that more active investors are more likely to express ideological preferences through their portfolio choices, contributing to the observed pricing effects of political partisanship.

Table IA-17: Summary Statistics on Demand for Political Leaning

This table shows summary statistics for the estimated demand for a certain political leaning across the different types of institutional investors. I report mean, standard deviation (Std), 5th percentile (P5), 25th percentile (P25), median, 75th percentile (P75), and 95th percentile (P95) of the estimated coefficient on firm-level political leaning.

Type	Mean	Std	P5	P25	Median	P75	P95
Large-Passive IA	0.03	0.06	-0.07	-0.00	0.03	0.07	0.12
Small-Passive IA	0.04	0.09	-0.10	-0.01	0.04	0.09	0.19
Small-Active IA	0.03	0.12	-0.16	-0.04	0.03	0.11	0.23
Large-Active IA	-0.03	0.11	-0.23	-0.07	-0.02	0.05	0.13
Hedge Funds	-0.01	0.06	-0.11	-0.05	-0.01	0.03	0.10
Long-Term	0.03	0.06	-0.05	-0.00	0.02	0.06	0.13
Private Banking	0.03	0.10	-0.14	-0.04	0.03	0.10	0.20
Brokers	-0.01	0.08	-0.13	-0.05	-0.01	0.04	0.11
Public Funds	0.00	0.05	-0.08	-0.00	0.02	0.03	0.05

VII. Additional Empirical Results

VII.1. Forward-looking Proxy for Expected Returns

Throughout most of this paper’s analysis, realized returns are used as proxies for expected returns. However, realized returns are contaminated by cash-flow and discount rate news, and if these news components do not cancel out on average, realized returns cannot be interpreted as unbiased proxies for expected returns (see [Elton, 1999](#)). To complement the baseline evidence, I therefore examine a forward-looking proxy, namely option-implied expected returns, in the spirit of [Martin and Wagner \(2019\)](#). Based on stock option prices, these expected returns are available for forecast horizons ranging from 30 to 730 days. The data, covering the universe of stocks in OptionMetrics with sufficient data quality, are the same as those constructed in [Pasler et al. \(2025\)](#).⁴ Table [IA-18](#) reports monthly panel regressions of annualized option-implied expected returns on firm-level partisanship across the five forecast horizons. The estimates are negative throughout, indicating that firms with a clearer partisan identity tend to exhibit lower forward-looking expected returns than politically neutral firms. However, this relation is statistically significant

⁴ To reduce the impact of outliers, I winsorize the expected returns per forecast horizon at the 2.5% level in both tails.

only at the longest horizon, 730 days. At this horizon, a stronger deviation from political neutrality is associated with an expected return 39 bp lower, on average over time. This pattern is consistent with the view that short-horizon option-implied expected returns are comparatively noisy. In contrast, longer-horizon expected-return measures more clearly capture persistent valuation differences due to partisanship.

Table IA-18: Option-Implied Expected Returns Regression

This table shows the results from monthly panel regressions, in which annualized option-implied expected returns, in the spirit of [Martin and Wagner \(2019\)](#), are regressed across different forecast horizons on firms' political partisanship. The sample covers the period from 1996 to 2022. I include month $\times$ industry fixed effects based on 2-digit SIC codes. The control variables are standardized. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm and month level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	30 days (1)	91 days (2)	182 days (3)	365 days (4)	730 days (5)
Partisanship	-0.36 (-0.86)	-0.32 (-1.48)	-0.29 (-1.63)	-0.31 (-1.65)	-0.39* (-1.83)
Log ME	-8.34*** (-15.36)	-4.35*** (-14.59)	-3.63*** (-14.07)	-3.89*** (-14.06)	-4.43*** (-14.03)
Log B/M	3.74*** (5.37)	1.34*** (3.87)	0.80*** (2.97)	0.53** (2.20)	-0.06 (-0.30)
Profitability	-3.23*** (-9.92)	-1.99*** (-10.99)	-1.78*** (-11.47)	-1.95*** (-11.80)	-2.36*** (-13.03)
Leverage	2.13*** (5.42)	0.89*** (4.62)	0.60*** (3.99)	0.44*** (3.34)	0.13 (1.18)
Tangibility	-0.82*** (-3.01)	-0.50*** (-3.63)	-0.45*** (-3.89)	-0.51*** (-4.17)	-0.62*** (-4.55)
Earnings Growth	-0.49 (-1.57)	-0.22 (-1.22)	-0.21 (-1.28)	-0.15 (-0.88)	-0.02 (-0.12)
MOM	-2.58*** (-5.06)	-1.28*** (-4.18)	-0.99*** (-3.55)	-0.91*** (-2.96)	-0.82** (-2.36)
β_{MKT}	1.88*** (4.87)	1.44*** (5.49)	1.38*** (5.61)	1.36*** (5.17)	1.57*** (5.09)
IVOL	7.18*** (6.55)	5.07*** (6.46)	4.67*** (6.36)	5.07*** (6.31)	5.88*** (6.17)
Industry $\times$ Month FE	Yes	Yes	Yes	Yes	Yes
Observations	438,521	437,883	437,460	436,815	435,172
Adjusted R ²	0.36	0.44	0.47	0.48	0.52

VII.2. Full Sample Political Stance

Some previous works investigating the political activities of firms and their executives used static measures, such as political contributions aggregated over the full sample period. Disregarding the variation over time, whether due to genuine ideological change or strategic considerations, and ignoring the forward-looking bias, this approach arguably provides a clearer measure of true ideological leaning. Therefore, I redo the portfolio sorting using the partisanship measure for each firm, aggregated over the full sample period. Table IA-19 shows that the main results are mostly robust to this change. The average returns of the partisanship portfolios are higher, and the high-minus-neutral spread narrows to -25 bp per month. This is expected, given that the results in Section 3.3 show that this long-term average underperformance of partisan firms only manifests once firms actually deviate from a neutral stance.

Table IA-19: Full Sample Portfolio Sorting

This table presents the average monthly excess returns for three portfolios constructed based on firms' political partisanship aggregated over the full sample period. N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	N	L	H	H-N
$E[R]-R_f$ (%)	1.49*** (4.64)	1.24*** (4.61)	1.24*** (4.41)	-0.25** (-2.42)
α_{FF6}	0.80*** (6.40)	0.46*** (7.11)	0.44*** (5.86)	-0.36*** (-3.47)

VII.3. Investors' Ideological Leaning

A key design choice in the alignment test of Table 9 is the percentile threshold used to classify a firm's shareholder base as ideologically tilted. The baseline specification uses the 25th and 75th percentiles of the cross-sectional distribution of aggregated investor demand to define Democratic- and Republican-leaning shareholder bases, respectively. To assess

the sensitivity of this classification, Table IA-20 reports the coefficient on the partisanship-alignment interaction across a range of threshold percentiles, from the median (50/50) to the 10th/90th percentile.

Panel A uses the active-investor-restricted aggregation from the baseline panel specification. The interaction is economically small and statistically insignificant at the median cutoff, where the alignment dummy captures only mild tilts in investor demand. As the threshold becomes more extreme, the interaction coefficient generally increases in absolute value and becomes statistically significant from the (40,60) cutoff onward, reaching -0.50 at the (10,90) cutoff. This gradient confirms that the pricing effect is concentrated among firms whose shareholder base exhibits a strong, unambiguous ideological tilt, consistent with a mechanism that requires a meaningful demand wedge rather than marginal differences in investor composition.

Panel B repeats the exercise aggregating over all investors, including passive funds. The interaction coefficient is generally smaller in magnitude and statistically significant only at the (25,75) and (10,90) thresholds, reinforcing the finding that the inclusion of passive investors dilutes the alignment signal. Panel C reports the corresponding estimates from Fama-MacBeth regressions with the active-investor restriction. The pattern closely mirrors that of Panel A.

Panel D addresses a potential look-ahead concern by constructing alignment from one-year-lagged investor preferences. The gradient is similar to Panel A, with the interaction becoming significant from the (40,60) threshold onward, ruling out mechanical contamination from within-year holdings data.

VII.4. Subperiod Analysis and Investor Attention

Table IA-21 re-estimates the baseline Fama-MacBeth regression over three subperiods: pre-2011, 2011–2016, and post-2016. The partisanship discount is present in the first and third subperiods and attenuated during the intermediate period. Section 3.2 of the main text provides the economic interpretation, linking these patterns to a three-phase decomposition of the transition to heightened polarization.

Table IA-20: Investors' Ideological Preferences Threshold Sensitivity

This table presents the coefficient on the interaction of firms' political partisanship and a measure of ideological alignment with investors from the regression model as in Model (2) of Table 9 in the main text. Each column represents a regression using different percentile thresholds to indicate the ideological leaning of a firm's shareholders, based on aggregated stock-level investors' ideological preferences. If stock-level-aggregated investors' ideological preferences are below the left percentile, this indicates a Democratic leaning of a firm's shareholders. If stock-level-aggregated investors' ideological preferences are above the right percentile, this indicates a Republican leaning of a firm's shareholders. Panels A, B, and D show the coefficients from panel regressions, whereas Panel C shows the coefficients from Fama-MacBeth regressions. In Panels A, C, and D, the stock-level aggregation of investors' ideological preferences is restricted to active institutional investors. Panel B aggregates ideological preferences over all investors. In Panel D, one-year-lagged investors' ideological preferences are used for stock-level aggregation. The sample covers the period from 1999 to 2022. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm and month level for the panel regression and Newey-West corrected standard errors for the Fama-MacBeth regressions. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

Threshold	(50,50)	(40,60)	(30,70)	(25,75)	(20,80)	(10,90)
Panel A: Panel Regression - Active Investors						
Partisanship $\times$ Investor Alignment	0.05 (0.43)	-0.19* (-1.71)	-0.35*** (-2.83)	-0.35** (-2.53)	-0.41*** (-2.85)	-0.50*** (-3.11)
Panel B: Panel Regression - All Investors						
Partisanship $\times$ Investor Alignment	-0.03 (-0.22)	-0.15 (-1.29)	-0.19 (-1.43)	-0.24* (-1.82)	-0.14 (-1.11)	-0.28* (-1.74)
Panel C: Fama-MacBeth Regression - Active Investors						
Partisanship $\times$ Investor Alignment	-0.01 (-0.10)	-0.19* (-1.65)	-0.30** (-2.46)	-0.28** (-2.45)	-0.32*** (-2.63)	-0.37** (-2.43)
Panel D: Lagged Panel Regression - Active Investors						
Partisanship $\times$ Investor Alignment	0.10 (0.85)	-0.23* (-1.80)	-0.27** (-2.09)	-0.38*** (-2.75)	-0.40*** (-2.78)	-0.48*** (-2.83)

Table IA-21: Subperiod Fama-MacBeth Regression

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over three different sample periods. Model (1) covers the period from 1990 until the end of 2010. Model (2) covers the period from 2011 until the end of 2016. Model (3) covers the period after 2016. All models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Pre 2011 (1)	2011-2016 (2)	Post 2016 (3)
Partisanship	-0.17*** (-2.76)	-0.10 (-1.52)	-0.24* (-1.89)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
Observations	394,100	114,840	98,718
R ²	0.26	0.26	0.30

Table IA-22 splits the sample along the election cycle, estimating the baseline Fama-MacBeth regression separately for presidential election years and off-cycle years. The partisanship discount is present in both subsamples and roughly three times larger in election years. As discussed in Section 4.5 of the main text, the off-cycle persistence distinguishes the demand-based mechanism from purely attention-driven explanations. At the same time, the election-year amplification is consistent with state-dependent ideological demand.

Table IA-23 examines heterogeneity with respect to investor attention, proxied by the average number of analysts covering the firm over the previous twelve months.⁵ Analyst coverage itself is positively related to returns in this sample, but its interaction with partisanship is economically negligible and statistically insignificant, and the main effect of partisanship is unaffected. The pricing of partisanship therefore does not vary with

⁵ The analyst coverage data is provided by Theis Ingerslev Jensen on his website.

Table IA-22: Election Cycle Split Fama-MacBeth Regression

This table shows the results from Fama-MacBeth regressions, where monthly excess stock returns are regressed on firms' political partisanship. The regressions are estimated cross-sectionally for each month over two different sample periods. Model (1) restricts to years of presidential elections. Model (2) covers the years without presidential elections. All models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Election Year (1)	Off Cycle (2)
Partisanship	-0.33*** (-2.67)	-0.11** (-2.47)
Controls	Yes	Yes
Industry FE	Yes	Yes
Observations	149,420	458,238
R ²	0.27	0.27

the breadth of a firm's information environment (see Section 4.5).

VII.5. Deviations from Neutrality

Table IA-24 reports a panel regression in which monthly returns are regressed on an indicator for the period following the first deviation from neutrality, along with controls and fixed effects. Because the specification includes firm fixed effects, identification comes from within-firm changes around the onset of a salient partisan identity. I interpret this regression as a complementary within-firm timing check. It provides evidence that the same firm exhibits weaker returns after becoming politically non-neutral, consistent with event-time dynamics and the equilibrium mechanism in which a demand-driven valuation wedge is associated with lower subsequent returns.

I next examine trading activity around the first deviation from neutrality. This analysis complements the turnover results in the main text by using log dollar volume as an

Table IA-23: Fama-MacBeth Regression with Analyst Coverage

This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and analyst coverage measured as the average number of analysts covering the firm over the past 12 months. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. Both models control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include industry fixed effects based on 2-digit SIC codes. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	(1)	(2)
Partisanship	-0.12*** (-2.67)	-0.16** (-1.99)
Analyst Coverage	0.03*** (3.58)	0.03*** (3.12)
Partisanship $\times$ Analyst Coverage		0.00 (0.72)
Controls	Yes	Yes
Industry FE	Yes	Yes
Observations	555,992	555,992
R ²	0.30	0.30

alternative measure of trading intensity. Figure IA-1 reports coefficient estimates from a stacked event-time regression of log dollar volume on monthly relative-time indicators over the six months before and after the deviation. The specification uses the same benchmark design as the return event study in Figure 2. The pre-event coefficients are close to zero and statistically insignificant, while the coefficient at $t = 0$ is positive and statistically significant. The result indicates that trading activity increases discretely when the partisan signal becomes observable, consistent with investors responding to the newly revealed partisan stance.

I also examine whether the composition of the shareholder base changes in the direction predicted by the demand mechanism. For this test, I use investor-level political-demand coefficients estimated two years before the deviation and hold these coefficients fixed throughout the event window. The test therefore captures whether firms that become

Table IA-24: Partisanship Panel Specification

This table shows regression estimates of monthly excess returns on a dummy variable indicating the period after the initial deviation from neutrality. The sample covers the period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility, and include month $\times$ industry fixed effects based on 2-digit SIC codes and firm fixed effects. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm and month level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

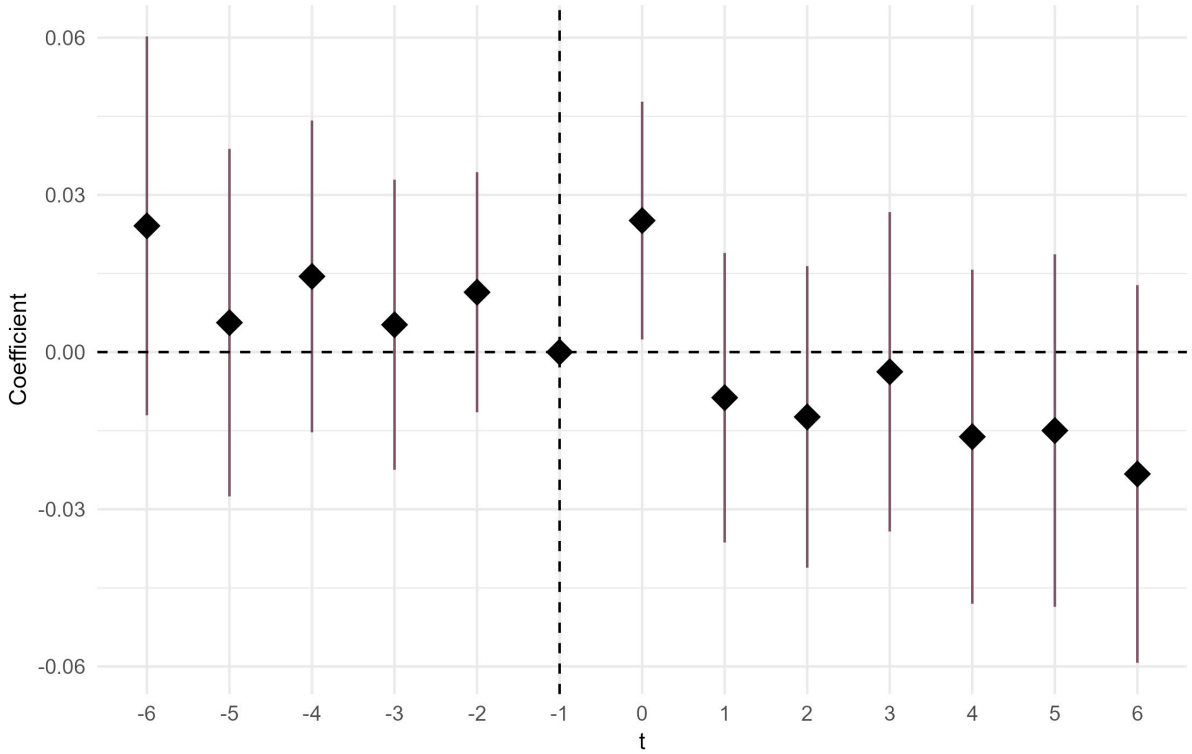
Post	-0.20* (-1.88)
Controls	Yes
Industry $\times$ Month FE	Yes
Firm FE	Yes
Observations	607,658
Adjusted R^2	0.21

politically salient attract investors with pre-existing demand for firms with the corresponding political orientation. For each firm-quarter, I compute the ownership-weighted average of active investors' frozen political-demand coefficients and multiply this measure by the sign of the firm's first deviation. Positive values indicate that the active shareholder base becomes more aligned with the firm's revealed partisan direction. Figure IA-2 reports the corresponding dynamic estimates over the two quarters before and after the deviation. The pre-event coefficient at $q = -2$ is close to zero. The coefficient at $q = 0$ is positive and marginally significant, with a t -statistic of 1.92, indicating that ownership-weighted investor demand moves in the direction of the firm's newly revealed partisan stance during the deviation quarter, whose end-of-quarter holdings are measured after the deviation. A response within the deviation quarter is feasible because FEC reports for donations made early in the quarter can become public before quarter-end. The coefficient remains positive onward through $q = 2$, although it is not statistically significant. The wide confidence intervals are expected given the quarterly frequency of institutional holdings data and the limited number of event-quarter observations.

Table IA-25 reports stacked event-window regressions for the ownership-side outcomes.

Figure IA-1: Volume Dynamics of Deviation from Neutrality

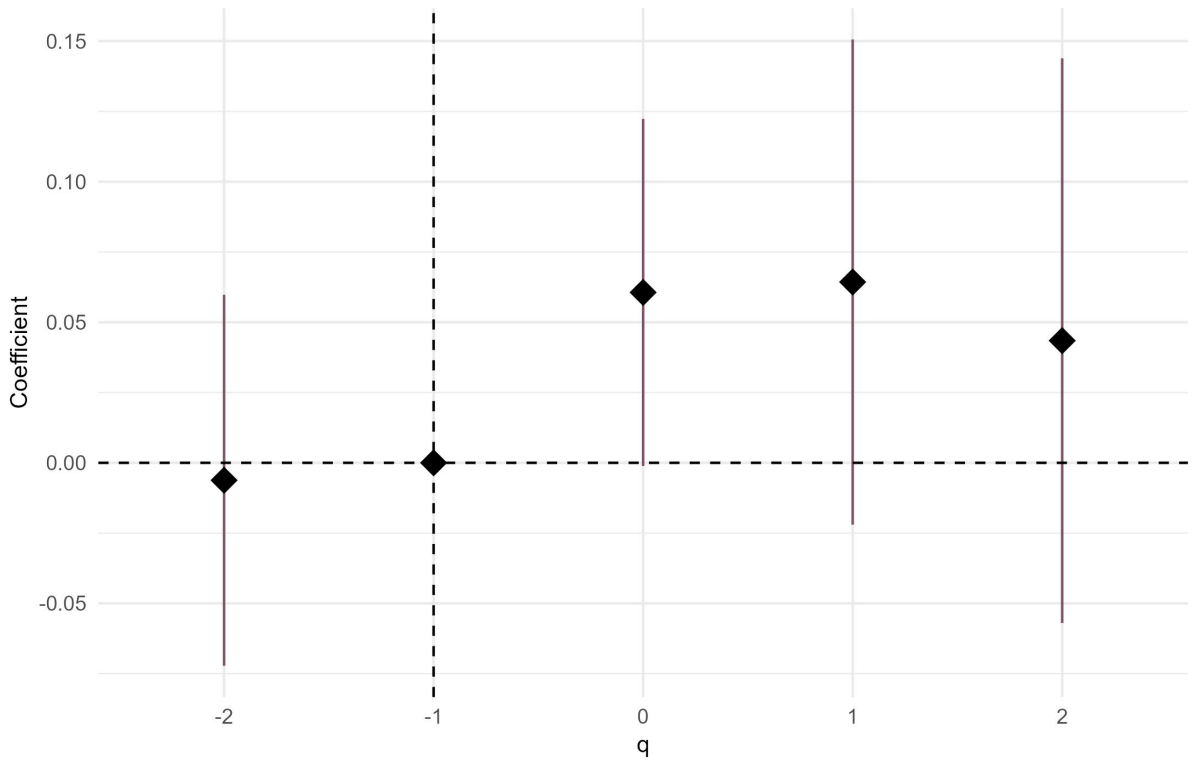
This figure shows coefficient estimates and corresponding 95% confidence intervals from a stacked event-time regression of log dollar volume on relative-month indicators around firms' first deviations from political neutrality. Event firms are those for which the first deviation from neutrality occurs between months $t = -1$ and $t = 0$. The coefficient at $t = 0$ captures the log dollar volume in the first full month after the partisan signal becomes observable via FEC filings. The benchmark sample consists of firms that remain neutral throughout the corresponding window (until two years after the event firm's deviation month). The sample covers the period from 1990 to 2022. The specification includes month $\times$ benchmark and firm $\times$ benchmark fixed effects. Standard errors are clustered at the firm level.



Models (1) and (2) use signed ownership-weighted investor demand as the dependent variable. Models (3) and (4) use net-aligned ownership, defined as ownership by investors in the aligned tail of the frozen demand distribution minus ownership by investors in the misaligned tail. The specifications use symmetric windows of one and two quarters around the deviation. The coefficient of interest is the post-event differential in event firms' performance relative to benchmark firms. The ownership-weighted demand mea-

Figure IA-2: Demand Dynamics of Deviation from Neutrality

This figure shows coefficient estimates and corresponding 95% confidence intervals from a stacked event-time regression of aligned ownership-weighted demand on relative-quarter indicators around firms' first deviations from political neutrality. Event firms are those for which the first deviation from neutrality occurs in quarter $q = 0$. Because institutional holdings are reported as of quarter-end, the coefficient at $q = 0$ captures portfolios measured after the deviation occurs; the quarter before the deviation, $q = -1$, serves as the reference period. Investor demand is measured using investor-level political-demand coefficients estimated two years before the event and held fixed throughout the event window. The dependent variable equals the ownership-weighted average of these frozen demand coefficients across active institutional investors, multiplied by the sign of the firm's first partisan deviation, and scaled by the standard deviation of benchmark firms in $q = -1$ within each event-by-direction stack. Benchmark firms remain neutral throughout the corresponding window (until two years after the deviation quarter of the event firm) and are assigned to the same party-specific cohort based on their eventual political orientation over the full sample period. The sample covers the period from 2001 to 2022. The specification includes quarter $\times$ benchmark and firm $\times$ benchmark fixed effects. Standard errors are clustered at the firm level.



sure increases by 0.06 standard deviations in the one-quarter window, with a t -statistic of 1.88. The estimate remains positive in the two-quarter window but is less precisely estimated. The net-aligned ownership measure displays a qualitatively similar pattern but remains statistically insignificant. Overall, the evidence suggests that the first partisan signal is followed by a short-run shift in the active shareholder base toward investors with pre-existing demand for the firm’s revealed political orientation. Because the test uses quarterly 13F holdings and freezes investor demand two years before the event, I interpret these results as suggestive quantity-side evidence rather than as a definitive reallocation estimate.

Table IA-26 examines the determinants of the initial deviation from neutrality. The sample is restricted to firm-months in which the firm has not yet deviated, and an indicator equal to one in the month of the first observed deviation is regressed on lagged firm and CEO characteristics using probit and linear probability specifications. Past returns over the preceding 6- and 12-month periods do not predict the onset of a partisan stance, mitigating the concern that CEOs time their first donations in response to recent performance. The propensity to deviate increases with firm size and declines sharply with CEO tenure, consistent with duration dependence in the timing of first political contributions. Because deviations therefore cluster in the earlier part of CEO tenures, Section 4.1 of the main text reports the distribution of CEO tenure at the time of the deviation and shows that the immediate return response is stable within the tenure-observed sample and under a six-month tenure exclusion. Figure IA-3 below complements these sample restrictions with a placebo analysis around CEO appointments themselves.

Specifically, I re-estimate the dynamic event-time specification of Figure 2 around new CEO appointments at firms that remain politically neutral, so that any estimated response isolates the effect of a leadership change absent a partisan signal. Event firms are firms with a new CEO appointment that remain neutral until at least two years after the appointment month. Benchmark firms remain neutral over the same horizon and do not experience a CEO appointment themselves within six months of the event firm’s appointment. Figure IA-3 shows that CEO appointments alone generate no abnormal returns. No coefficient in the six-month window around the appointment is statistically significant, and the $t = 0$ estimate is economically negligible at 0.14 percentage points with

Table IA-25: Demand Stacked Event-Window Regressions

This table shows stacked event-window regressions of ownership-side outcomes around firms' first deviations from political neutrality. The specifications use symmetric event windows of 1 and 2 quarters before and after the deviation. The main coefficient of interest captures the average post-event differential for event firms relative to benchmark firms, where the post-event period begins in the deviation quarter $q = 0$. Because institutional holdings are reported as of quarter-end, the outcome in $q = 0$ is measured after the deviation occurs. Models (1) and (2) use signed ownership-weighted investor demand as the dependent variable. Investor demand is measured using investor-level political-demand coefficients estimated two years before the event and held fixed throughout the event window. The dependent variable equals the ownership-weighted average of these frozen demand coefficients across active institutional investors, multiplied by the sign of the firm's first partisan deviation. Models (3) and (4) use net-aligned ownership, defined as ownership by active institutional investors in the aligned tail of the frozen demand distribution minus ownership by active institutional investors in the misaligned tail (top and bottom quartiles). All outcomes are scaled by the standard deviation of benchmark firms in the quarter preceding the deviation within each event-by-direction stack. Event firms are firms whose first deviation from neutrality occurs in quarter $q = 0$. Benchmark firms remain neutral throughout the corresponding event window (until two years after the deviation quarter of the event firm) and are assigned to the same party-specific cohort based on their eventual political orientation over the full sample period. The sample covers the period from 2001 to 2022. All models include quarter $\times$ benchmark and firm $\times$ benchmark fixed effects. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Investor Leaning		Net-Aligned Ownership	
	[-1,1]	[-2,2]	[-1,1]	[-2,2]
	(1)	(2)	(3)	(4)
Post $\times$ Deviation	0.06* (1.88)	0.06 (1.60)	0.04 (1.37)	0.04 (1.05)
Quarter $\times$ Benchmark FE	Yes	Yes	Yes	Yes
Firm $\times$ Benchmark FE	Yes	Yes	Yes	Yes
Observations	18,482	30,821	18,488	30,831
Adjusted R ²	0.79	0.72	0.77	0.68

Table IA-26: Determinants for Initial Deviation

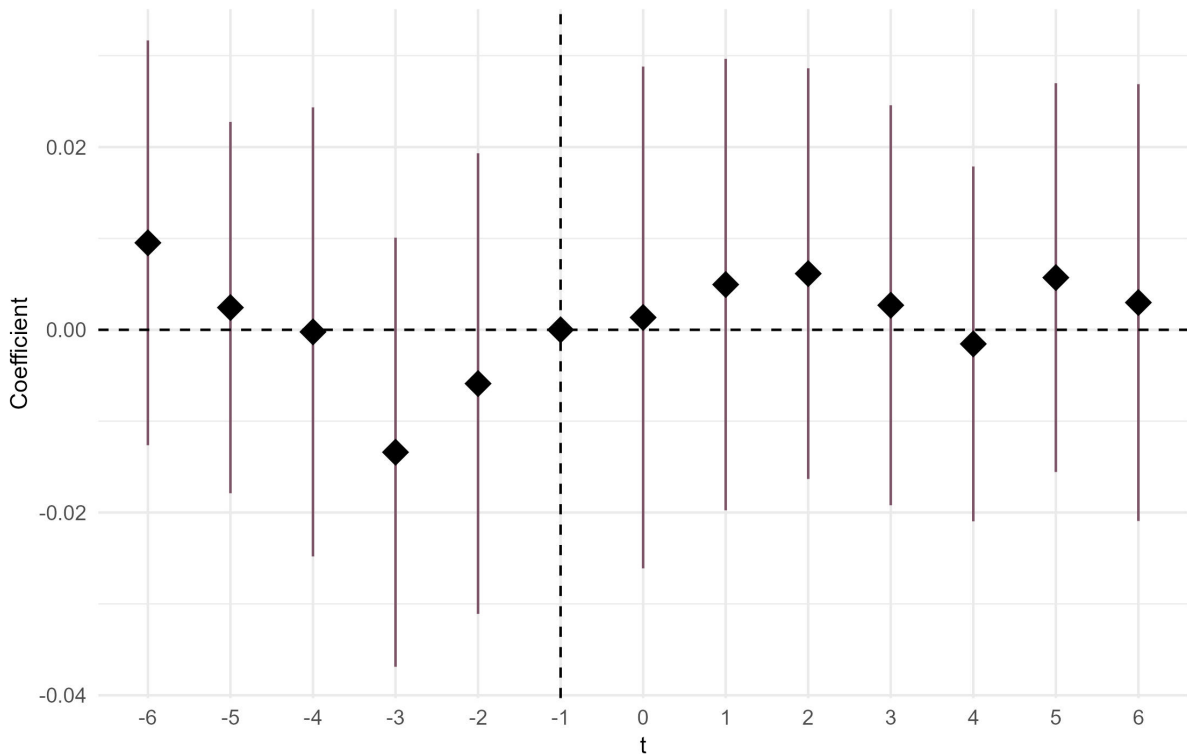
This table shows the results from regressions of an indicator for a firm's initial deviation from a politically neutral stance on lagged firm and CEO characteristics. The sample is restricted to firm-months in which the firm has not yet deviated from neutrality, such that the dependent variable equals one in the month of the first observed deviation and zero otherwise. Models (1) and (2) report probit coefficients, and Model (3) reports estimates from a linear probability model. Cum.Ret.₆ and Cum.Ret.₁₂ denote cumulative stock returns over the previous 6 and 12 months; all characteristics are lagged and standardized. The sample covers the period from 1990 to 2022. All models include industry and year fixed effects. The z-statistics (Models (1) and (2)) and t-statistics (Model (3)) are shown in parentheses. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	(1)	(2)	(3)
	Probit		LPM
Cum.Ret. ₆	0.02 (0.61)	-0.01 (-0.19)	0.00 (-0.17)
Cum.Ret. ₁₂	-0.02 (-1.61)	-0.01 (-0.77)	0.00 (-1.14)
Log ME	0.07*** (5.09)	0.05*** (2.70)	0.002*** (2.90)
Log B/M	0.01 (0.94)	-0.03 (-1.55)	0.00 (-1.12)
Profitability	-0.02* (-1.67)	-0.02 (-1.30)	0.00 (-1.09)
Leverage	0.03*** (2.59)	0.02 (1.40)	0.00 (0.97)
Tangibility	0.03* (1.68)	0.02 (1.15)	0.00 (1.07)
Earnings Growth	-0.01 (-0.62)	0.00 (-0.11)	0.00 (-0.10)
β_{MKT}	-0.02 (-1.34)	-0.02 (-1.18)	0.00 (-1.02)
IVOL	0.02* (1.73)	0.02 (1.12)	0.00 (1.18)
Log CEO Tenure		-0.22*** (-17.98)	-0.01*** (-13.53)
Industry FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Observations	104,246	75,260	75,260
Log Likelihood	-7,456.09	-4,766.58	
AIC	15,018.18	9,635.15	
Pseudo R ² (McFadden)	0.03	0.06	
Adjusted R ²			0.01

a t -statistic of 0.10. In untabulated analyses, the corresponding placebo specifications for turnover and dollar volume likewise show no positive abnormal trading activity in the appointment month; if anything, trading activity declines in the months following an appointment. The return and trading responses at firms' first deviations from neutrality are therefore not attributable to leadership change per se.

Figure IA-3: Return Dynamics around CEO Appointments at Neutral Firms

This figure shows coefficient estimates and corresponding 95% confidence intervals from a stacked event-time regression of returns on relative-month indicators around new CEO appointments at politically neutral firms. Event firms are those for which a new CEO takes office between months $t = -1$ and $t = 0$ and that remain politically neutral until at least two years after the appointment month. The benchmark sample consists of firms that likewise remain neutral until two years after the event firm's appointment month and do not experience a CEO appointment themselves within six months of the event firm's appointment. The sample covers the period from 1993 to 2022. The specification includes month $\times$ benchmark and firm $\times$ benchmark fixed effects. Standard errors are clustered at the firm level.



VII.6. Political Risk

Table IA-27 presents the double sorts on exposure to economic policy uncertainty discussed in Section 4.4; the partisanship discount is unaffected by cross-sectional variation in EPU sensitivity.

Table IA-27: Bivariate Portfolio Sorting with Political Risk Exposure

This table presents the average monthly excess returns for two $\times$ three portfolios dependently sorted on firms' sensitivity to changes in economic policy uncertainty (EPU) based on Baker et al. (2016) and then on the level of partisanship. The sorting on the exposure to changes in EPU is reported across rows L and H, containing low and high exposure firms, respectively. The columns represent the sorting on the level of partisanship, where N are politically neutral firms, L are low partisanship firms, H are high partisanship firms, and H-N is the high-minus-neutral portfolio. Portfolios are equally weighted and rebalanced monthly. The sample covers the period from 1990 to 2022. For each portfolio, I report the average excess return and FF6 alpha. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	E[R]-R _f (%)				α_{FF6}			
	N	L	H	H-N	N	L	H	H-N
L	1.54*** (4.66)	1.12*** (4.07)	1.15*** (3.92)	-0.39*** (-3.98)	0.80*** (7.84)	0.36*** (5.00)	0.35*** (4.33)	-0.44*** (-4.96)
H	1.50*** (5.22)	1.06*** (4.19)	1.10*** (4.23)	-0.40*** (-4.17)	0.73*** (5.80)	0.22*** (3.53)	0.26*** (3.33)	-0.46*** (-4.36)

VII.7. Operating Performance

Section 4.3 of the main text concludes that expected changes in operating performance do not drive the partisanship discount. Table IA-28 presents the underlying annual panel regressions of profitability on partisanship, with direction interactions as in Section 2.4. In the first two columns, I examine whether partisanship and the direction of leaning can explain contemporaneous profitability. In the third to sixth columns, I test whether partisanship and the direction of leaning predict future profitability, with Model (6) using a first-difference specification. All regression setups indicate that neither partisanship nor ideological leaning significantly influences contemporaneous or future profitability.

In principle, the negative return differential could also be driven by negative earnings

Table IA-28: Profitability Regression

This table shows the results from annual panel regressions, where profitability is regressed on firms' political partisanship and political leaning. In Models (1) and (2), the dependent variable is concurrent profitability. In Models (3) to (5), the dependent variable is one-year-ahead profitability. Models (1), (3), and (5) include firms' political partisanship. Models (2) and (4) use firms' political partisanship interacted with the direction of the political leaning. Model (6) is a first-difference regression of future one-year-ahead profitability on political partisanship. The sample covers the period from 1990 to 2022. All models control for other firm characteristics, which are standardized, and include year $\times$ industry fixed effects based on 2-digit SIC codes. Notably, Models (1) and (2) use one-year-lagged profitability as additional control. Models (3), (4), and (6) use concurrent profitability as additional control. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Current Profitability		Future Profitability			
	(1)	(2)	(3)	(4)	(5)	(6)
Partisanship	0.00 (-0.37)		0.00 (0.48)		0.00 (0.86)	0.00 (0.14)
Partisanship $\times$ Rep.		0.00 (-0.04)		0.00 (1.14)		
Partisanship $\times$ Dem.		0.00 (-0.87)		0.00 (-1.07)		
Log ME	0.01*** (9.34)	0.01*** (9.31)	0.01*** (10.37)	0.01*** (10.29)	0.03*** (11.74)	0.01*** (9.40)
Log B/M	-0.01*** (-13.95)	-0.01*** (-13.95)	-0.01*** (-20.73)	-0.01*** (-20.75)	-0.03*** (-12.17)	-0.01*** (-12.78)
Lagged Profitability	0.72*** (60.36)	0.72*** (60.27)				
Profitability			0.77*** (73.38)	0.77*** (73.30)		-0.19*** (-11.64)
Leverage	-0.004*** (-9.70)	-0.004*** (-9.70)	-0.002*** (-5.28)	-0.002*** (-5.29)	-0.01*** (-9.42)	-0.002*** (-3.17)
Tangibility	0.01*** (13.23)	0.01*** (13.21)	0.01*** (13.77)	0.01*** (13.60)	0.03*** (16.93)	-0.002*** (-3.56)
Earnings Growth	0.01*** (11.10)	0.01*** (11.09)	-0.002** (-2.35)	-0.002** (-2.35)	0.003*** (4.20)	0.003*** (4.38)
Industry $\times$ Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	51,789	51,789	55,135	55,135	55,220	50,863
Adjusted R ²	0.68	0.68	0.68	0.68	0.19	0.15

surprises following a firm’s adoption of a salient political stance. To assess whether this is the case, I estimate annual panel regressions in which earnings surprises are regressed on partisanship and political leaning, with interaction terms, as in Table IA-28. Earnings surprises are defined following Foster et al. (1984). First, I subtract the average earnings-per-share growth over the preceding two years from the current earnings-per-share growth. Second, this value is standardized. In the first two columns of Table IA-29, I examine whether partisanship and the direction of leaning can explain contemporaneous earnings surprises. In the third and fourth columns, I test whether partisanship and the direction of leaning can predict future earnings surprises. All regression setups indicate that neither partisanship nor ideological leaning significantly influences contemporaneous or future earnings surprises, providing further evidence that a systematic worsening in earnings does not drive the partisanship discount in returns.

As a complementary check, I assess whether the partisanship discount is concentrated in specific industry groups where alternative, non-demand channels are most likely to operate. First, if the return differential were driven by political connections or exposure to policy-sensitive sectors rather than demand-based pricing, one would expect the partisanship coefficient to be subsumed or significantly altered when interacting with industry sensitivity. I classify firms in coal, oil, utilities, healthcare, and defense as operating in politically sensitive industries based on the Fama-French 49 Industry classification. Model (1) of Table IA-30 reports the results from a Fama-MacBeth regression that includes a sensitive-industry dummy and its interaction with partisanship. The interaction term is positive but not statistically significant, indicating that the partisanship discount is neither concentrated in nor driven by politically sensitive sectors. Second, if the partisanship discount reflected cash-flow risk from consumer backlash against partisan firms rather than investor demand, it should be strongest for consumer-facing firms, where individual purchasing decisions can directly affect revenue. Model (2) interacts partisanship with a consumer-facing industry indicator. The interaction is insignificant, and the main partisanship effect remains negative (see Section 4.3 for the economic interpretation).

Table IA-29: Earnings Surprise Regression

This table shows the results from annual panel regressions, where earnings surprises are regressed on firms' political partisanship and political leaning. Earnings surprises are defined following [Foster et al. \(1984\)](#) as the earnings growth minus average earnings growth over the preceding two years. In Models (1) and (2), the dependent variable is concurrent standardized earnings surprises. In Models (3) and (4), the dependent variable is standardized earnings surprises in the subsequent year. Models (1) and (3) include firms' political partisanship. Models (2) and (4) use firms' political partisanship interacted with the direction of the political leaning. The sample covers the period from 1990 to 2022. All models control for other firm characteristics, which are standardized, and include industry fixed effects based on 2-digit SIC codes and year fixed effects. The t -statistics shown in parentheses are calculated using standard errors clustered at the firm level. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	Current Earnings Surprise		Future Earnings Surprise	
	(1)	(2)	(3)	(4)
Partisanship	0.02 (1.16)		0.01 (0.40)	
Partisanship $\times$ Rep.		0.02 (1.11)		0.01 (0.32)
Partisanship $\times$ Dem.		0.02 (1.28)		0.01 (0.64)
Log ME	-0.01 (-1.55)	-0.01 (-1.54)	-0.00 (-0.59)	-0.00 (-0.58)
Log B/M	0.01 (0.86)	0.01 (0.86)	0.01 (0.89)	0.01 (0.89)
Profitability	0.03 (1.20)	0.03 (1.20)	0.01 (1.01)	0.01 (1.01)
Leverage	0.01 (1.11)	0.01 (1.11)	0.00 (1.17)	0.00 (1.17)
Tangibility	0.00 (0.78)	0.00 (0.81)	0.01 (0.98)	0.01 (0.99)
Year FE	Yes	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes	Yes
Observations	50,515	50,515	53,927	53,927
Adjusted R ²	0.001	0.001	0.0003	0.0003

Table IA-30: Fama-MacBeth Regression with Sensitive Industries

This table shows the results from Fama-MacBeth regressions, in which monthly excess stock returns are regressed on firms' political partisanship and a dummy variable indicating whether the firm operates in a specific industry group. In Model (1), this group consists of politically sensitive industries (coal, oil, utilities, healthcare, defense) based on the Fama-French 49 Industry classification. In Model (2), this group consists of consumer-facing industries (food products, candy and soda, beer and liquor, tobacco, entertainment, consumer goods, apparel, automobiles, retail, and restaurants and hotels) based on the Fama-French 49 Industry classification. The regressions are estimated cross-sectionally for each month over the sample period from 1990 to 2022. I control for the logarithm of market capitalization, the logarithm of book-to-market ratio, profitability, leverage, tangibility, earnings growth, momentum, market beta, and idiosyncratic volatility. The t -statistics shown in parentheses are calculated using Newey-West corrected standard errors. I indicate significance at the 10%, 5%, and 1% level by *, **, and ***, respectively.

	(1)	(2)
Partisanship	-0.20*** (-3.93)	-0.16*** (-2.73)
Sensitive Industry	-0.08 (-0.48)	
Partisanship $\times$ Sensitive Industry	0.14 (0.67)	
Consumer-Facing Industry		-0.08 (-0.59)
Partisanship $\times$ Consumer-Facing Industry		-0.07 (-0.78)
Controls	Yes	Yes
Observations	607,658	607,658
R ²	0.25	0.25

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